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CRYPTOASSETS & BLOCKCHAIN

United Kingdom



LEXOLOGY

Cryptoassets & Blockchain

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GENERAL LEGAL AND REGULATORY FRAMEWORK

Legal framework

What legal framework governs cryptoassets? Is there specific legislation governing cryptoassets and businesses transacting with cryptoassets?

The rules in the UK are subject to consultations that would establish the jurisdiction's first comprehensive regulatory regime for crypto. Since this would be so significant, and most firms operating in the UK are preparing for this, we have chosen to look ahead in large part to the proposed rules in the following responses.

The UK has moved from piecemeal measures to a structured, activity-based framework anchored in the Financial Services and Markets Act 2023 (FSMA 2023). The regime already covers anti-money laundering and financial promotions, and it is expanding to require full Financial Conduct Authority (FCA) authorisation for core crypto services including exchanging, custody, lending and borrowing, and staking. Property law and asset-recovery powers have been modernised to reflect crypto's realities, and systemic safeguards exist for stablecoin infrastructures. UK firms with EU exposure must also plan for compliance with the Markets in Crypto-Assets Regulation.

The FSMA 2023 created a statutory framework that empowers HM Treasury, the FCA and the Bank of England (BoE) to build a comprehensive, activity-based regime. On 29 April 2025, HM Treasury published a draft statutory instrument to amend the Regulated Activities Order (RAO). The draft defines qualifying cryptoassets and qualifying stablecoins as specified investments and proposes new regulated activities for exchanges, custody, dealing as principal and as agent, arranging deals, lending and borrowing via the drafting of the principal-dealing and arranging activities, and qualifying cryptoasset staking. The government has confirmed it will proceed largely as proposed. It has decided not to amend the Payment Services Regulations at this stage to bring UK-issued stablecoin payment chains into the payments perimeter, while proceeding with authorisation for issuance and custody. The draft also sets a UK consumer-facing geographic perimeter so that overseas firms serving UK retail customers will generally need UK authorisation. Admissions/disclosure & market-abuse rules will follow separately. This RAO package is not yet in force as of October 2025.

Anti-money laundering (AML) and counter-terrorist financing (CTF) obligations remain foundational. Cryptoasset exchange providers and custodian wallet providers are 'relevant persons' under the Money Laundering Regulations (MLRs) and must register with the FCA and comply with AML requirements. The Travel Rule has applied in the UK since 1 September 2023 and requires the collection, verification and sharing of originator and beneficiary information for cryptoasset transfers. Under the forthcoming regime, firms that are authorised for the new crypto activities will not need a separate MLR registration, although all MLR obligations will continue to apply.

The financial promotions regime for crypto is live, strict and extraterritorial. Since 8 October 2023, 'qualifying cryptoassets' have been treated as controlled investments. Promotions to UK consumers must be made or approved by an authorised firm or rely on a limited exemption. The FCA classifies qualifying cryptoassets as Restricted Mass Market Investments. The rules require prescribed risk warnings, positive frictions including a 24-hour cooling-off period for first-time investors with a firm, and a ban on monetary

and non-monetary incentives to invest. Breach of the restriction on unauthorised financial promotions is a criminal offence. These rules apply to firms based overseas if they target UK consumers.

Tokens that are securities remain within the existing perimeter. Where a token represents or confers rights equivalent to shares, debt or derivatives, it is regulated as a specified investment under the Financial Services and Markets Act 2000 (FSMA 2000). That position is unchanged by the draft crypto regime. Fiat-referenced stablecoins are being addressed through the digital settlement assets framework created by the FSMA 2023. The government has prioritised regulation of issuance and custody and has paused bringing UK-issued stablecoin payment chains into the Payment Services Regulations for the time being.

If a stablecoin arrangement or a related service provider becomes systemic, the Banking Act 2009 and Financial Services (Banking Reform) Act 2013 now extend the oversight and the Financial Market Infrastructure special administration regime to digital settlement asset payment systems and service providers. This ensures there is a bespoke resolution regime should a systemic stablecoin firm fail.

English law already recognises that cryptoassets can attract property rights and this position is being codified. The Law Commission published a draft Bill in July 2024 to confirm a third category of personal property suitable for certain digital assets. The government introduced the Property (Digital Assets etc) Bill in September 2024 to implement these reforms. The Bill is reported to come into force in the next few months.

Law enforcement powers over illicit crypto have been strengthened. The Economic Crime and Corporate Transparency Act 2023 (ECCTA 2023) extended the Proceeds of Crime Act 2002 (POCA) so that law enforcement can obtain freezing, seizure and forfeiture orders for cryptoassets and related items. Codes of practice and court rules supporting these powers came into force in April 2024.

Staking has been clarified in funds law. The Financial Services and Markets Act 2000 (Collective Investment Schemes) (Amendment) Order 2025 provides that arrangements for qualifying cryptoasset staking do not amount to a collective investment scheme. The definition in the Order frames 'qualifying cryptoasset staking' as the use of a qualifying cryptoasset in blockchain validation.

The EU's Markets in Crypto-Assets Regulation is now relevant to market access. Provisions for stablecoin issuers have applied in the EU since 30 June 2024. The wider regime for cryptoasset service providers applied from 30 December 2024. UK firms serving EU clients generally require authorisation for crypto asset services through an EU entity as there is no automatic UK-EU equivalence.

Law stated - 11 November 2025

Government policy

How would you describe the government's general approach to the regulation of cryptoassets in your jurisdiction?

The UK government's stance has shifted from being seen as relatively hands-off to a measured, risk-based approach that places consumer protection and market integrity alongside innovation. Cryptoasset businesses have been subject to AML supervision since

10 January 2020 through implementation of the EU Fifth Anti-Money Laundering Directive into the MLRs, which created the FCA registration regime; in practice, that regime has been rigorous, with a high rejection or withdrawal rate reported to Parliament. The Travel Rule for cryptoasset transfers took effect in the UK on 1 September 2023. The financial promotions regime was extended to 'qualifying cryptoassets' from 8 October 2023 under the Financial Promotion Order (FPO), with the FCA's rules and guidance adding mandatory risk warnings, a first-time investor cooling-off period, bans on incentives, and other conduct controls; since 7 February 2024, only authorised firms with the new section 21 'approver gateway' permission may approve unauthorised firms' promotions. The FCA allowed recognised exchanges to list crypto-exchange-traded notes (crypto-ETNs) for professional investors in March 2024 and announced the opening of retail access to UK-listed crypto-ETNs in August 2025 (subject to listing and distribution safeguards) from 8 October 2025, but retail derivatives are still banned.

In 2023, HM Treasury consulted on a 'future financial services regulatory regime for cryptoassets' guided by 'same risk, same regulatory outcome'. The government confirmed in November 2024 that it would implement those proposals and, in April 2025, published a near-final draft statutory instrument to bring a broad suite of cryptoasset activities into the RAO (including operating a cryptoasset trading venue, intermediation/broking, custody/safeguarding, lending/borrowing, and staking). An admissions-and-disclosure framework and a market-abuse regime tailored to cryptoassets is expected 'in due course'. The government also confirmed it would regulate UK issuance of fiat-referenced stablecoins as a financial services activity on the same timetable as the wider regime, but would not, for now, bring stablecoin payments into the Payment Services Regulations perimeter. In parallel, the FCA has advanced the rulebook via DP24/4 (on admissions/disclosures and a market-abuse regime for cryptoassets) and DP25/1, on trading venues, intermediaries, lending/borrowing, staking, decentralised finance, and credit. Consultations on a range of matters have been taking place throughout 2025. Legal clarifications since 2024 include excluding 'qualifying cryptoasset staking' from the collective investment scheme perimeter (effective 31 January 2025) and exempting the backing assets and stabilisation mechanism of qualifying stablecoins from collective investment scheme (CIS) treatment.

The government continues to state an ambition for the UK to be a leading centre for digital asset technologies; concrete steps have included the Digital Securities Sandbox (DSS) Regulations that come into force on 8 January 2024, with the BoE and FCA opening the DSS to applications on 30 September 2024, together with a planned pilot issuance of a 'Digital Gilt Instrument' in the DSS announced in November 2024.

Broader legal infrastructure is also progressing via the Property (Digital Assets etc) Bill (a Law Commission-led measure to confirm that certain digital assets can attract property rights as a 'third category' of personal property). The government has strengthened enforcement capability through ECCTA 2023, which expanded seizure, freezing and civil-recovery powers for cryptoassets.

The direction of travel is broadly firm but facilitative: tighten conduct and promotions now, stand up a comprehensive RAO-based regime for core crypto services, clarify difficult perimeter questions, modernise market infrastructure through the DSS, and continue property-law and economic-crime reforms – while recognising that, until the RAO changes are enacted and the FCA's final rules commence, most crypto activity beyond AML supervision and financial promotions remains outside the full FSMA perimeter.

Regulatory authorities

Which government authorities regulate cryptoassets and businesses transacting with cryptoassets?

The FCA is the principal conduct regulator for cryptoassets. It registers and supervises UK-established cryptoasset businesses under the MLRs, and it polices financial promotions for 'qualifying cryptoassets' under the FSMA financial promotion regime as amended in 2023. The FCA will also lead authorisation and supervision for future FSMA-based activities as the government's regime for cryptoassets comes onstream.

The government (HM Treasury) sets policy and lays the statutory instruments that expand the framework. The stablecoin package allocates roles across authorities and sits alongside FSMA 2023, which created the digital-settlement-asset gateway needed for future regulation.

The BoE and the Prudential Regulation Authority (PRA) oversee systemic and prudential risk. The Bank is preparing the regime for systemic payment systems using stablecoins and related service providers, while the PRA supervises banks' risk management and capital in respect of cryptoasset exposures and is aligning with Basel standards on the prudential treatment of such exposures.

The Payment Systems Regulator regulates competition and innovation in payment systems and will have responsibilities where stablecoin arrangements are designated within the UK payments perimeter under the Treasury's stablecoin framework.

The Advertising Standards Authority (ASA) continues to regulate non-broadcast and broadcast advertising under the CAP and BCAP Codes. Since October 2023, most fungible, transferable crypto promotion content is within the FCA's statutory financial promotions regime; BCAP introduced an explicit broadcast rule for qualifying cryptoassets in September 2024 to align with those restrictions.

Law enforcement authorities including the National Crime Agency (NCA), through the UK Financial Intelligence Unit and National Economic Crime Centre, and the Serious Fraud Office (SFO) investigate and prosecute crypto-related crime. Their powers to seize, freeze, convert and forfeit cryptoassets were expanded by the ECCTA 2023 via new POCA provisions and related court rules.

HM Revenue & Customs (HMRC) is responsible for taxation of cryptoassets and publishes the detailed Cryptoassets Manual that guides the treatment for individuals and businesses.

The Office of Financial Sanctions Implementation (OFSI) within HM Treasury administers and enforces UK financial sanctions, which apply to cryptoassets and crypto firms. OFSI has issued sector-specific threat assessments for the cryptoasset sector and general sanctions guidance relevant to compliance.

The Digital Regulation Cooperation Forum is a coordination forum between the Competition and Markets Authority, the Information Commissioner's Office, Ofcom and FCA. It is not a crypto regulator, but it facilitates cross-regulatory work on digital markets and has included digital assets within wider consumer and online-platform work.

The Payment Systems Regulator (PSR) oversees payment systems, that may involve cryptoasset transactions, promoting competition and innovation while ensuring the protection of users of payment systems.

Various law enforcement agencies, including the National Crime Agency (NCA) and the Serious Fraud Office (SFO), investigate and combat financial crimes involving cryptoassets, such as money laundering, fraud and other illicit activities, and work to disrupt criminal use of cryptoassets and prosecute offenders.

HM Revenue and Customs is responsible for taxation matters related to cryptoassets.

The Digital Regulation Cooperation Forum (DRCF) is a collaborative initiative consisting of four UK regulators:

- the Competition and Markets Authority (CMA);
- the Information Commissioner's Office;
- the Office of Communications (Ofcom); and
- the FCA.

This initiative was established in July 2020 and aims to develop a coherent approach to digital regulation. The DRCF focuses on collaboration, sharing of expertise and preparing for and navigating the rapidly evolving UK digital economy. It has included cryptoassets within its agenda.

Law stated - 11 November 2025

Regulatory penalties

What penalties can regulators impose for violations relating to cryptoassets?

Carrying on a regulated activity without authorisation breaches the FSMA 'general prohibition' and is a criminal offence. The maximum penalty is up to two years' imprisonment and/or an unlimited fine on indictment, with corporate and individual liability applying according to FSMA.

Breaching the financial promotion restriction is a separate criminal offence under FSMA. Communicating an unauthorised financial promotion (including for qualifying cryptoassets unless an exemption applies or an authorised approver is used) carries the same maximum penalty of up to two years' imprisonment and/or an unlimited fine.

Under the MLRs, contravening a 'relevant requirement' is a criminal offence. Relevant requirements expressly include the registration and related prohibitions for cryptoasset exchange providers and custodian wallet providers. Conviction can result in up to two years' imprisonment and/or an unlimited fine, and regulators may also impose civil penalties, public censures, injunctions and management-prohibition measures.

The FCA's wider toolkit includes injunctions to restrain breaches, asset-freezing relief, restitution (court-ordered and administrative), public censures, financial penalties, variations or cancellations of permission or registration, and prohibition orders against individuals. These powers are set out in FSMA and explained in the FCA's Enforcement Guide.

For PRA-regulated firms such as banks with crypto exposures, the PRA can impose financial penalties, suspensions, restrictions and prohibition orders under FSMA. The PRA's current enforcement policy statements confirm how it applies sections including FSMA s206.

The NCA and SFO can bring prosecutions for money laundering, fraud and related offences and apply POCA powers to seize, freeze, convert and forfeit cryptoassets. These powers were significantly expanded by ECCTA 2023 and implemented through new Home Office rules for crypto-wallet freezing, detention and forfeiture.

OFSI may impose civil monetary penalties or refer cases for criminal prosecution for breaches of UK financial sanctions that involve cryptoassets. The general guidance confirms sanctions obligations and enforcement routes that apply equally to crypto businesses and assets.

HMRC can levy tax-related civil penalties and interest for non-compliance with tax obligations arising from cryptoasset transactions, in line with its published manual and general powers.

Law stated - 11 November 2025

Court jurisdiction

Which courts have jurisdiction over disputes involving cryptoassets?

In England and Wales, there is no specific 'crypto court'. Jurisdiction and forum are determined by the nature of the claim, its value and complexity, and any contractually agreed forum or arbitration clause. Most civil crypto disputes are issued in the business and property courts, particularly the Commercial Court and the Chancery Division, including the Financial List for market-significant issues. The judiciary now expressly signposts 'digital disputes' – including cryptoassets, smart contracts and distributed ledger issues – to these specialist lists.

Several procedural adaptations support crypto litigation. Practice Direction 6B paragraph 3.1(25) (the 'information orders gateway') enables claimants to seek disclosure against non-parties outside the jurisdiction to identify wrongdoers and trace assets, which has been used in crypto cases such as *LMN v Bitflyer*. English courts have also permitted alternative service by airdropping NFTs, initially alongside email and, in appropriate cases, as a sole method. These tools sit alongside familiar remedies (proprietary injunctions, worldwide freezing orders, Norwich Pharmacal and Bankers Trust disclosure).

Less complex or lower-value civil claims are generally issued in the county court, whereas substantial or complex matters begin in the High Court. The allocation by value is reflected in Practice Direction 7A and general judicial guidance. Intellectual property disputes related to crypto (for example, NFT copyright or trademark issues) may be brought in the Intellectual Property Enterprise Court, which has tailored small-claims and multi-track procedures.

Criminal allegations involving cryptoassets, for example, fraud or money laundering, are prosecuted in the usual criminal courts: matters start in the Magistrates' Courts and, if sufficiently serious, proceed to the Crown Court.

The Family Court and Family Division deal with financial remedy proceedings in which cryptoassets form part of the matrimonial estate; full and frank asset disclosure is required via Form E.

English courts recognise cryptoassets as capable of being property, which underpins the availability of proprietary remedies. That recognition is reflected in case law and in law reform work, and is further supported by the government's Property (Digital Assets etc) Bill introduced to put these principles on a statutory footing in England and Wales (and Northern Ireland).

The position in Scotland is different because Scotland has a separate legal system from England and Wales. Civil disputes run in the Sheriff Courts or the Court of Session (including its specialist Commercial Court), with the court of final appeal being the UK Supreme Court. However, there have been insufficient cases to date dealing with digital assets to facilitate their firm recognition in Scots law. Scotland is a far smaller jurisdiction than England and Wales with its courts accordingly seeing far fewer cases. The Scottish government consulted on clarifying the status of digital assets in Scots law which resulted in the Digital Assets (Scotland) Bill which was laid before the Scottish Parliament on 30 September 2025. If and when it is made law, the legislation will clarify where digital assets sit within the body of Scots private law and provide legal certainty to market participants.

Law stated - 11 November 2025

Legal status of cryptocurrency

Is it legal to own or possess cryptocurrency, use cryptocurrency in commercial transactions and exchange cryptocurrency for local fiat currency in your jurisdiction?

It is legal in the UK to own, hold and transfer cryptocurrencies, including for use in commercial transactions and to exchange them for sterling, subject to applicable regulation. Cryptoassets are not 'legal tender'. HMRC does not treat cryptoassets as 'currency or money' for tax purposes; where goods or services are sold for crypto, VAT is accounted for in the normal way using the sterling value at the time of supply. Firms carrying on in-scope crypto activities must meet AML registration requirements with the FCA.

Law stated - 11 November 2025

Fiat currencies

What fiat currencies are commonly used in your jurisdiction?

The British pound sterling is the UK's national currency. Parties are free to contract in other currencies and, where appropriate, English courts may enter judgment in the foreign currency of the obligation (following the House of Lords decision in *Miliangos v George Frank*).

Law stated - 11 November 2025

Industry associations

What are the leading industry associations addressing legal and policy issues relating to cryptoassets?

The UK Forum for Digital Currencies is an alliance focused on digital currency developments in the UK and comprises five organisations: the City of London Corporation, the Digital Pound Foundation, The Payments Association, TheCityUK and UK Finance.

CryptoUK is the UK's dedicated crypto industry trade association; it engages with HM Treasury, the FCA and Parliament and submits formal policy responses on crypto regulation.

The UK Cryptoasset Business Council is a membership-based body that represents firms across crypto, blockchain and Web3 and runs working groups and engagement with UK decision-makers.

GBBC Digital Finance, formerly Global Digital Finance, is a global standards and policy body with a UK footprint; GDF merged with the Global Blockchain Business Council in 2022 and continues its policy and best-practice work from the UK.

The Digital Pound Foundation advocates for well-designed digital money in the UK, including the digital pound, stablecoins and tokenised deposits, and operates policy and legal working groups.

The Payments Association convenes a Digital Currencies Working Group that engages with regulators and publishes recommendations on cryptoassets and digital currencies.

techUK runs a Digital Asset Working Group that addresses adoption frameworks and the regulatory perimeter for digital assets in the UK.

The British Blockchain Association contributes to policy debates and consultations and has submitted formal responses to FCA's crypto proposals.

Law stated - 11 November 2025

CRYPTOASSETS FOR INVESTMENT AND FINANCING

Regulatory threshold

What attributes do the regulators consider in determining whether a cryptoasset is subject to regulation under the laws in your jurisdiction?

Regulators first look at the statutory definitions that bring tokens or related activities within perimeter. For anti-money laundering (AML) purposes, the Money Laundering Regulations (MLRs) define 'cryptoasset' broadly as 'a cryptographically secured digital representation of value or contractual rights that uses distributed-ledger technology and can be transferred, stored or traded electronically'. UK-established cryptoasset exchange providers and custodian wallet providers are therefore 'relevant persons' who must register with the Financial Conduct Authority (FCA) for AML supervision.

For the financial promotions regime, the Financial Promotion Order (FPO) defines a 'qualifying cryptoasset' as a cryptoasset that is fungible and transferable, with exclusions (for example, electronic money and existing controlled investments). Promotions to UK consumers relating to qualifying cryptoassets are restricted unless made or approved by an authorised firm; in practice, this captures most fungible, transferable tokens while typically excluding non-fungible tokens unless they are structured or marketed in a way that renders them effectively fungible or otherwise brings them into scope.

For the existing Financial Services and Markets Act (FSMA) perimeter, the FCA's Guidance on Cryptoassets explains that tokens which create rights or obligations analogous to 'specified investments' (for example, shares, debt instruments or derivatives) are regulated as securities; tokens that meet the Electronic Money Regulations definition of electronic money are regulated as e-money. Exchange tokens and pure utility tokens generally fall outside this perimeter unless other features or activities (such as derivatives, collective investment or deposit-like features) are engaged. This categorisation remains a useful analytical tool for perimeter assessments.

Under the reforms enabled by FSMA 2023, 'cryptoassets' are now defined in FSMA and HM Treasury's April 2025 draft legislation would amend the Regulated Activities Order (RAO) to make 'qualifying cryptoassets' and 'qualifying stablecoin' new classes of 'specified investments' under the FSMA. The draft regime (the rules of which are not yet in force) proposes to focus on attributes such as fungibility and transferability for qualifying cryptoassets and fiat-reference and payment-use for qualifying stablecoins, alongside activity-based authorisation requirements for operating trading platforms, dealing (including lending and borrowing), arranging, safeguarding (custody) and staking.

The UK has clarified the interaction with collective investment rules. Since 31 January 2025, arrangements for 'qualifying cryptoasset staking' do not amount to a collective investment scheme, and HM Treasury's policy confirms that backing assets for qualifying stablecoins are not to be treated as a CIS or an alternative investment fund (AIF). These changes steer staking and payment-stablecoin arrangements away from legacy funds regulation and into the forthcoming cryptoasset activities regime.

In short, the attributes that matter are the token's legal and economic characteristics (including any claim on an issuer, redemption rights, rights analogous to securities, fungibility and transferability), its intended use (payments versus investment), and how it is marketed, together with whether the associated activity falls within the scope of the financial promotions regime, AML registration, existing FSMA securities/e-money perimeters or the forthcoming RAO-based cryptoasset activities.

Law stated - 11 November 2025

Investor classification

How are investors in cryptoassets classified and treated differently?

Outside the financial promotions regime and the existing perimeter for securities and e-money, there is no standalone investor-classification framework that applies uniquely to cryptoassets. Where a token is already a specified investment or e-money, the usual FCA client categorisation (retail, professional and eligible counterparty) applies under FSMA and the FCA Handbook. For unregulated cryptoassets, investor classification matters primarily for financial promotions and, in practice, for whether and how a direct offer financial promotion can be made. The crypto promotions regime applies to all firms marketing qualifying cryptoassets to UK consumers, regardless of where the firm is based or the technology used.

There are four lawful routes to communicate cryptoasset promotions to UK consumers. A promotion may be made by an authorised person. A promotion by an unauthorised person may be approved by an authorised person, and since 7 February 2024 any approving firm

must hold the FCA's 'approver permission' under the section 21 gateway. A promotion may be made by or on behalf of an FCA-registered cryptoasset business using the bespoke, temporary exemption in article 73ZA of the FPO Promotion Order, subject to its conditions. A promotion may be made in reliance on another FPO exemption, such as article 19 for investment professionals or article 49 for high-net-worth companies, partnerships and trustees of high-value trusts.

The article 73ZA exemption permits an MLR-registered cryptoasset firm to communicate its own qualifying cryptoasset promotions. It permits a non-real-time promotion to be communicated on its behalf if the MLR-registered firm prepared the content. Article 73ZA is not a blanket permission: firms using it must still comply with the FCA's content and consumer-protection rules for crypto promotions.

Two familiar individual exemptions in the FPO do not apply to qualifying-cryptoasset promotions. Article 48 for high-net-worth individuals and article 50A for self-certified sophisticated investors are disappplied for cryptoassets. The government also disappplied article 51 (associations of high-net-worth or sophisticated investors) and article 61 (sale of goods and supply of services). When relying on class-based exemptions, the principal audiences are investment professionals under article 19 and high-net-worth bodies under article 49, with thresholds including called-up share capital or net assets of at least £500,000 where the company or its group has more than 20 members, otherwise £5 million; £5 million for unincorporated associations or partnerships; and £10 million of cash and investments for trustees of high-value trusts.

If a promotion is addressed to retail consumers, additional FCA rules apply because qualifying cryptoassets are treated as Restricted Mass Market Investments. Retail promotions must include prominent and prescribed risk warnings and risk summaries and there is a ban on monetary and non-monetary incentives to invest. In response to Direct Offer Financial Promotions (DOFP), a 24-hour cooling-off step is required for first-time investors with a firm and an appropriateness assessment must be completed before enabling a transaction.

For crypto DOFPs to retail consumers, firms may proceed only where the consumer has been categorised as a restricted investor, a high-net-worth investor, or a certified sophisticated investor. The self-certified sophisticated route is not permitted for crypto. Investor certifications are only valid for a 12-month period and firms must re-categorise customers after this period elapses before they can make additional DOFPs. Firms must take and evidence reasonable steps to verify categorisation and to conduct the appropriateness assessment.

Territorial scope is broad. Promotions directed at UK consumers are in scope even if hosted overseas. The "overseas recipients" exemption in Article 12 of FPO can apply only where communications are made only to, or directed only at, persons outside the UK; in practice, firms need robust gating and clear signalling, as a UK-accessible transactional website will ordinarily be treated as a UK promotion.

Law stated - 11 November 2025

| Initial coin offerings

What rules and restrictions govern the conduct of, and investment in, initial coin offerings (ICOs)?

Initial coin offerings (ICOs) are not a standalone regulated activity under the FSMA. However, they can bring the issuer within scope of the UK's AML regime if the issuer conducts an 'exchange' activity, such as selling newly-created tokens to purchasers for money or other cryptoassets by way of business. In that scenario, the issuer will typically be a 'cryptoasset exchange provider' under regulation 14A of the MLRs and must register with the FCA and comply with the MLRs (including customer due diligence, ongoing monitoring and, where applicable, the Travel Rule). This is explicit in the legislative definition which captures creators/issuers when providing exchange services, and the FCA's own guidance for firms.

Marketing an ICO to UK consumers is caught by the FPO where the token is a 'qualifying cryptoasset'. Since 8 October 2023, there are only four lawful routes to make such a promotion (authorised person communication; authorised person approval via the s.21 'gateway'; an MLR-registered crypto firm communicating its own non-real-time promotions under article 73ZA; or another applicable FPO exemption), and the FCA's detailed crypto-promotion rules apply (restricted mass-market investment category, risk warnings, cooling-off, client categorisation and appropriateness). The FPO's 'qualifying cryptoasset' definition excludes e-money and existing controlled investments; FCA FG23/3 explains that many tokens (including some fiat-referenced tokens) will in practice be 'qualifying cryptoassets'.

HM Treasury published in April 2025 a draft FSMA (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025 and policy note. The draft would:

- bring a suite of cryptoasset activities into the RAO (dealing as principal/agent, arranging, operating a trading platform, safeguarding/custody and staking);
- create a specific issuance activity for 'qualifying stablecoin' (from a UK establishment); and
- amend FSMA's territorial scope so firms dealing with UK consumers in core crypto trading/arranging activities must be UK-authorised.

HM Treasury signalled that a separate admissions/disclosure and market-abuse package for cryptoassets will follow 'in due course'. Until those instruments are made and commenced, ICOs remain governed by the MLRs and the existing financial promotions regime, not a bespoke primary issuance regime. The April 2025 draft RAO would not create a bespoke primary issuance regime for unregulated tokens.

Law stated - 11 November 2025

Security token offerings

What rules and restrictions govern the conduct of, and investment in, security token offerings (STOs)?

Where the tokens are 'specified investments' (for example, shares, debentures or other contractually based investments), the offer, intermediation and venue operation sit within the existing UK securities perimeter under FSMA and the RAO. The FCA's policy statement PS19/22 and the accompanying final guidance remain the primary reference for classifying

tokens as security/e-money or unregulated exchange/utility tokens and are still used by market participants for perimeter analysis.

Issuers conducting a public offer or seeking admission to trading of security tokens must comply with the UK prospectus regime. As at September 2025, the onshored UK Prospectus Regulation remains in force but is being replaced by the new Public Offers and Admissions to Trading Regulations 2024. The FCA published its final rules in PS25/9 on 15 July 2025, with the new regime taking effect on 19 January 2026 (including the new PRM sourcebook and associated changes to the UK Listing Rules/MAR rules). Until commencement, issuers should continue to apply the current prospectus requirements.

An issuer does not generally need FCA authorisation merely to issue its own security tokens. Under the RAO, issuing one's own securities is excluded from the regulated activity of dealing in investments as principal; authorisation is instead required for regulated intermediation or advisory activities carried on by way of business (such as arranging deals, advising) and for operating trading venues.

Market-abuse requirements apply where security tokens are admitted to trading on a UK-regulated market, multilateral trading facilities (MTF) or organised trading facilities (OTF). The onshored UK Market Abuse Regulation continues to apply, together with the FCA's MAR sourcebook and guidance. Separately, the FCA is exploring a crypto-specific market-abuse and admissions/disclosures framework for non-security cryptoassets; that package is at the discussion-paper stage and has not yet been legislated.

AML registration under the MLRs depends on the facts. A primary offering does not, of itself, automatically trigger MLR registration, but the FCA's current guidance treats 'issuing new cryptoassets', such as ICOs or initial exchange offerings (IEOs), as an in-scope cryptoasset exchange-provider activity where done by way of business in or from the UK. Registration is therefore required if the issuer's conduct falls within Regulation 14A, such as issuing and exchanging tokens for money/other tokens, or if it also performs custody or other in-scope services; otherwise, no separate MLR registration is required purely for issuing securities.

The UK is also running the DSS, enabling FMI-grade pilots of DLT-based issuance, trading, settlement and record-keeping with modified rules under Bank of England/FCA oversight. This does not disapply the securities law perimeter for STOs outside the sandbox, but it is relevant to market infrastructure planning.

Law stated - 11 November 2025

Stablecoins

What rules and restrictions govern the issue of, and investment in, stablecoins?

The AML position mirrors other cryptoassets. UK-based exchange and custody services for stablecoins fall within the MLRs 2017, which trigger FCA registration and full AML/CTF compliance. Since 1 September 2023, the crypto Travel Rule in Part 7A MLRs has required in-scope firms to collect, verify and share originator/beneficiary information for cryptoasset transfers. In practice, a firm selling or swapping stablecoins 'by way of business' is a 'cryptoasset exchange provider', and a firm holding customer keys/tokens is a 'custodian wallet provider'.

Whether a stablecoin is regulated as e-money or as a 'qualifying cryptoasset' remains a fact-specific question under today's law. If a fiat-referenced token meets the electronic money regulations (EMRs) definition of electronic money (electronic monetary value issued on receipt of funds for payment purposes and accepted by others), the issuer and relevant payment service providers are regulated under EMRs/the payment service regulations (PSRs) and the crypto-promotion category does not apply. If it is not e-money, the token will usually be a "qualifying cryptoasset" and the financial promotion regime applies (restricted-mass-market investment rules, risk warnings, cooling-off, appropriateness, no incentives, etc.). The FCA's Finalised Guidance FG23/3 and PS23/6 explain the interplay and emphasise that many fiat-referenced tokens will in practice be "qualifying cryptoassets" unless their features make them e-money.

For systemic risk and failure management, Parliament has already legislated. FSMA 2023 extends the BoE's Part 5 Banking Act oversight to payment systems using 'digital settlement assets' (a category that includes relevant stablecoins) and provides for coordinated oversight with the Payment Systems Regulator. HM Treasury's October 2023 response confirms that the Financial Market Infrastructure Special Administration Regime (FMI SAR) is appointed as the primary insolvency regime for systemic digital settlement asset firms, with an additional administration objective focused on the return/transfer of customer funds and custody assets. The BoE and FCA continue to develop the supervisory approach for systemic stablecoins.

The most material policy development in 2024–2025 is HM Treasury's near-final draft Cryptoassets Order and policy note (29 April 2025). When made, this statutory instrument will:

- insert a new set of RAO regulated activities, including issuing a 'qualifying stablecoin' from a UK establishment and a new 'safeguarding/custody' activity covering qualifying cryptoassets and tokenised securities;
- add a dedicated regulated activity for 'qualifying cryptoasset staking';
- set a location-based perimeter so UK-facing trading/arranging platforms serving UK consumers require UK authorisation, while pure non-UK institutional business is treated differently; and
- align the FPO so promotions of the new cryptoasset activities fall within section 21 FSMA.

Importantly, HMT decided not to proceed, for now, with amending the PSRs to regulate retail payments using UK-issued stablecoins. The draft also makes consequential changes to avoid double-regulation under the MLRs once firms are FSMA-authorised, removes the temporary promotions route for MLR-registered firms, and draws a bright-line boundary so 'qualifying stablecoin' (and its backing assets) is not treated as e-money or a CIS/AIF; tokenised deposits are expressly not e-money.

The FCA is building the stablecoin rulebook to sit on top of the new perimeter once Parliament finishes the legislation. In May 2025, it consulted on activity-specific requirements for issuing qualifying stablecoins and for cryptoasset custody (CP25/14), alongside a prudential package (CP25/15) setting expectations for own funds, liquidity and concentration risk for issuers and custodians.

Staking of and the stablecoin ecosystem

In parallel, the FCA's broader roadmap covers trading platforms, intermediation, lending/borrowing, staking and DeFi (DP25/1) and an admissions/disclosures and market-abuse framework for cryptoassets (DP24/4). The period in which feedback could be provided on the FCA's discussion papers has now passed (13 June 2025 in respect of DP25/1 and 14 March 2025 in respect of DP24/4). From 31 January 2025, arrangements for 'qualifying cryptoasset staking' do not, of themselves, amount to a collective investment scheme under The Financial Services and Markets Act 2000 (Collective Investment Schemes) Order 2001 (as amended by the Financial Services and Markets Act 2000 (Collective Investment Schemes) (Amendment) Order 2025). HM Treasury's 29 April 2025 draft Cryptoassets Order then proposes staking as a distinct RAO activity for future authorisation. Together, these steps remove a major perimeter ambiguity while ensuring staking models are regulated appropriately under FSMA rather than through the collective investment scheme regime.

The practical implications for 'issue and investment' remain to be considered. Today, the AML/MLRs regime and the financial promotions framework govern most UK-facing activity involving non-e-money stablecoins, with systemic-failure backstops in place under FSMA 2023 and FMI SAR. Where a token is e-money, EMRs/PSRs govern the issuer and payment activity and the crypto promotion category does not apply. However, once the HM Treasury's draft Cryptoassets Order is made and commenced, UK issuance of qualifying stablecoins will become a FSMA-regulated activity, custody will move into being a dedicated FSMA safeguarding activity, staking will require permission, and the location-based perimeter will require UK authorisation for UK-facing platforms – with FCA conduct, prudential and operational-resilience rules applying accordingly (following proposals being approved and finalised where appropriate). Until then, classification remains fact-specific and promotion analysis remains critical.

Law stated - 11 November 2025

Airdrops

Are cryptoassets distributed by airdrop treated differently than other types of offering mechanisms?

Pure one-way airdrops, where recipients provide no consideration, are generally outside the scope of the UK AML regime for cryptoassets because they are not an 'exchange' of cryptoassets for money or other cryptoassets. By contrast, where an issuer sells newly-created tokens for money or swaps them for other tokens, the issuer may be a 'cryptoasset exchange provider' and must register under the MLRs. If a firm safeguards customer crypto or private keys in connection with an airdrop, it could also fall within the 'custodian wallet provider' definition. These outcomes follow from the statutory definitions in regulation 14A of the MLRs and the FCA's AML guidance for cryptoasset businesses.

Whether marketing around an airdrop is a 'financial promotion' turns on substance. The section 21 FSMA restriction captures any invitation or inducement 'to engage in investment activity', judged by the natural meaning of those words in PERG. If an airdrop campaign nudges consumers to open an account, trade, subscribe, stake, or otherwise take steps that amount to a controlled activity in relation to a qualifying cryptoasset, it will be within the regime. In addition, the FCA bans monetary and non-monetary incentives to invest in

Restricted Mass Market Investments, which includes qualifying cryptoassets. 'Refer-a-friend' and 'new-joiner bonus'-style airdrops are therefore prohibited.

Where an airdrop relates to a non-fungible token (NFT), it will usually be outside the 'qualifying cryptoasset' category because that regime applies to cryptoassets that are both transferable and fungible. However, NFTs can still be caught by the legacy financial promotions regime if they amount to (or reference rights in) a specified investment under the RAO, or if the promotion otherwise invites or induces a controlled activity. Classification is fact-specific and the FCA's FG23/3 stresses the need for case-by-case analysis.

Firms and influencers should also align airdrop campaigns with the FCA's 2024 social-media guidance, which reiterates that the restriction applies to communications capable of having effect in the UK and that unlawful promotions are a criminal offence.

Law stated - 11 November 2025

Advertising and marketing

What laws and regulations govern the advertising and marketing of cryptoassets used for investment and financing?

The starting point is section 21 of the FSMA 2000. In the course of business, a person must not communicate an invitation or inducement to engage in investment activity unless they are authorised or the content is approved by an authorised firm, or an exemption applies. This test applies to communications originating overseas if they are capable of having an effect in the UK.

Since 8 October 2023, promotions of 'qualifying cryptoassets' fall inside this regime via amendments to the FPO. 'Qualifying cryptoasset' is a fungible, transferable cryptoasset (with e-money and existing 'controlled investments' excluded). The amending SI both inserted the new controlled investment and adapted relevant controlled activities; HM Treasury's explanatory memorandum also explains the bespoke exemption for FCA-MLR-registered firms to communicate their own non-real-time promotions. In practice, the use-case (investment or financing) is largely irrelevant. What matters is whether the asset is a qualifying cryptoasset (or otherwise a specified investment) and whether the communication is an invitation or inducement.

There are now four lawful routes for a crypto promotion to retail consumers as follows:

- communication by an authorised person;
- approval by an authorised person that has passed the section 21 'approver gateway';
- communication by, or on behalf of, an FCA-registered crypto business under the Article 73ZA exemption for its own non-real-time promotions; or
- use of another applicable FPO exemption.

The approver gateway came fully into effect on 7 February 2024 and introduced competence and oversight requirements for approvers.

Content standards for qualifying cryptoasset promotions overlay the general FSMA rules. The FCA's PS23/6 and COBS 4.12A classify qualifying cryptoassets as 'Restricted Mass Market Investments' requiring prescribed risk warnings and a risk summary, a

24-hour cooling-off period for first-time investors before any direct-offer promotion, client categorisation, appropriateness assessments, a ban on monetary or non-monetary incentives to invest, and appropriate record-keeping. The FCA's FG23/3 gives detailed expectations on how to comply in practice.

Social media is expressly in scope on a channel-neutral basis. Finalised guidance FG24/1 confirms the 'capable of having an effect in the UK' test and sets out expectations for format, prominence and the Consumer Duty lens where it applies to authorised firms. The FCA has also published supervisory findings and data on crypto promotions to drive compliance. Breach of section 21 FSMA is a criminal offence (up to two years' imprisonment and/or an unlimited fine).

Stablecoin promotions depend on classification. If a fiat-referenced token is e-money, the EMRs/PSRs regimes apply and it is outside the 'qualifying cryptoasset' promotion category; if it is not e-money, it will usually be a qualifying cryptoasset and the FPO/FCA promotion rules apply. FG23/3 and PS23/6 explain this interplay and stress that characterisation is fact-specific.

Alongside FSMA/FCA, UK advertising standards continue to apply. For qualifying-cryptoasset ads, the FCA leads on the technical content, while the ASA/CAP/BCAP codes apply to non-technical aspects such as offence, clarity, social responsibility and avoiding trivialising high-risk investments. BCAP introduced a broadcast restriction in September 2024 banning certain crypto product ads from being broadcast to mainstream, non-specialist audiences, and ASA's AdviceOnline notes prior rulings on omissions such as failing to flag potential capital gains tax (CGT) liabilities.

Consumer-protection law has also modernised. The Digital Markets, Competition and Consumers Act 2024 replaced the 2008 unfair-trading regime from 6 April 2025 and gives the CMA direct administrative enforcement powers; government guidance explains how the new unfair-commercial-practices provisions operate. Crypto marketing to consumers must therefore satisfy both FSMA/FCA rules and the updated consumer-law regime.

There may be alignment changes once the government's draft Cryptoassets Order is made. HM Treasury's April 2025 policy note explains that the FPO will be adjusted to dovetail with the new RAO-based crypto activities, and that the article 73ZA route for MLR-registered firms will be removed when authorisation under the new crypto activities is available. Until then, the existing four-route structure and RMMI rule-set remain in force.

Law stated - 11 November 2025

Trading restrictions

Are investors in an ICO/STO/stablecoin subject to any restrictions on their trading after the initial offering?

For unregulated tokens such as most exchange and utility tokens, there are no statutory post-offer resale lock-ups. Trading is governed by contract (such as vesting, whitelisting or exchange listing rules) and by platform compliance with AML obligations. The financial promotions regime restricts communications to UK consumers but does not itself impose resale holding periods on investors. Where a UK-established business is dealing in

cryptoassets by way of business, it may be within the scope of the MLRs and must register and implement AML controls.

For security tokens (tokens that are 'transferable securities'), secondary market trading is subject to the usual UK securities law framework. Where such instruments are admitted to trading on a UK-regulated market, MTF or OTF, the UK Market Abuse Regulation applies (insider dealing, unlawful disclosure and market manipulation rules). Public offers and admissions also engage the UK prospectus regime; the government has legislated a new Public Offers and Admissions to Trading framework and the FCA published the final rulebooks in July 2025, taking effect in January 2026. Until those rules commence, the retained UK Prospectus Regulation continues to apply.

For stablecoins, there are currently no statutory post-offer lock-ups for holders. UK reforms focus on the issuance and custody of fiat-referenced stablecoins and, for systemic arrangements, on prudential and resolution safeguards. HM Treasury has confirmed the policy for stablecoins and the wider cryptoasset regime; investor-level transfer restrictions have not been introduced.

Law stated - 11 November 2025

Crowdfunding

How are crowdfunding and cryptoasset offerings treated differently under the law?

Loan-based crowdfunding (peer-to-peer lending) is a regulated activity: operating an electronic system in relation to lending is specified in article 36H of the RAO and requires FCA authorisation. Detailed conduct requirements for P2P platforms are set out in COBS 18.12, following the FCA's policy statement PS19/14.

Investment-based crowdfunding is generally regulated through the existing perimeter for arranging, dealing and safeguarding, together with the strengthened high-risk investment financial-promotion rules introduced by PS22/10. Those rules rationalised the marketing categories and introduced enhanced risk warnings, cooling-off and appropriateness testing across high-risk investments.

For cryptoasset offerings, the legal treatment turns on the token's character and how it is marketed. If the token is a security or e-money, the full FSMA perimeter applies, with the EMRs applying to e-money, including the prospectus regime where applicable. If the token is not otherwise regulated, promotions to UK consumers are subject to the crypto financial-promotion regime from 8 October 2023 (qualifying cryptoassets) and the FCA's finalised guidance FG23/3. Separately, the FCA is developing admissions, disclosures and a market-abuse regime for crypto trading venues (DP24/4).

Public offer reforms are also relevant. The Public Offers and Admissions to Trading Regulations 2024 and the FCA's new PRM sourcebook take effect on 19 January 2026; until then, the onshored UK Prospectus Regulation remains in force. The FCA has also finalised a public-offer-platform (POP) regime to commence on the same date.

Law stated - 11 November 2025

Transfer agents and share registrars

What laws and regulations govern cryptoasset transfer agents and share registrars?

There is no standalone statute for 'cryptoasset transfer agents' or 'crypto share registrars'. The issuance and transfer of company shares are governed by the Companies Act 2006 and the Uncertificated Securities Regulations 2001 (USRs). A company may not register a transfer of shares unless a proper instrument of transfer has been delivered or the security is transferred through a recognised uncertificated system such as CREST. These requirements make native, on-chain issuance and transfer of shares difficult outside controlled infrastructures.

The UK Jurisdiction Taskforce has issued a legal statement confirming that English law can support digital securities structures in principle. In parallel, the DSS, established by regulations under the FSMA 2023 and operated by the Bank of England and FCA, enables live pilots of DLT-based issuance, trading, settlement and record-keeping under a modified framework. These initiatives do not alter the Companies Act/USRs position outside the sandbox.

The government's Digitisation Taskforce delivered final recommendations in July 2025 to eliminate paper share certificates and move to a fully intermediated system. The government has published its response, indicating acceptance in principle and a staged implementation. These reforms, once implemented, will affect how registrars operate but do not in themselves authorise permissionless-chain share registers.

Law stated - 11 November 2025

Anti-money laundering and know-your-customer compliance

What anti-money laundering (AML) and know-your-customer (KYC) requirements and guidelines apply to the offering of cryptoassets?

Cryptoasset exchange providers and custodian-wallet providers carrying on business in or from the UK are 'relevant persons' under the MLRs and must register with the FCA before commencing in-scope activities. Regulation 14A sets out the services that bring firms into scope, including where the firm acts as creator or issuer when exchanging cryptoassets for money or other cryptoassets. The FCA's registration pages and the Joint Money Laundering Steering Group (JMLSG) Sector 22 guidance explain scope and supervisory expectations.

Registered firms must conduct customer due diligence, monitor relationships on an ongoing basis, apply enhanced due diligence for higher-risk situations, including politically exposed persons, and keep records for at least five years under Regulations 27, 28, 33 and 40 respectively. Firms must identify and verify beneficial owners where customers are legal persons and submit Suspicious Activity Reports to the UKFIU when the POCA threshold is met.

The crypto Travel Rule has applied in the UK since 1 September 2023: UK cryptoasset businesses must collect, verify and share originator and beneficiary information for qualifying transfers. The FCA has published expectations for implementation.

The government has proposed amendments to the MLRs so that, as the forthcoming FSMA-based authorisation regime for crypto activities comes into force, dual registration is avoided. Authorised firms would be supervised for AML by the FCA without a separate MLR registration, while unauthorised but in-scope businesses would continue to register under the MLRs.

Law stated - 11 November 2025

Sanctions and Financial Action Task Force compliance

What laws and regulations apply in the context of cryptoassets to enforce government sanctions, anti-terrorism financing principles, and Financial Action Task Force (FATF) standards?

Cryptoasset exchange providers and custodian-wallet providers carrying on business in or from the UK are 'relevant persons' under the MLRs and must register with the FCA and comply with AML/CTF requirements, including the crypto Travel Rule.

UK financial sanctions apply to cryptoassets in the same way as to other 'funds' or 'economic resources'. The regime is enabled by the Sanctions and Anti-Money Laundering Act 2018 and implemented through UK sanctions regulations administered by HM Treasury's OFSI. OFSI's general guidance states expressly that cryptoassets fall within sanctions' definitions, and OFSI published a sector-specific threat assessment for the cryptoassets sector in July 2025.

In counter-terrorism, the Counter-Terrorism (Sanctions) (EU Exit) Regulations 2019 are the applicable financial sanctions regime, with statutory guidance updated in March 2025; these regulations replaced Part 1 of the Terrorist Asset-Freezing etc. Act 2010 at the end of the EU transition period. Terrorist-financing criminal offences remain primarily in the Terrorism Act 2000.

Reporting obligations to OFSI extend to crypto firms. Since 2022, UK sanctions regulations (for example, the Russia regime) have treated 'cryptoasset exchange providers' and 'custodian wallet providers' as 'relevant firms' with mandatory reporting duties regarding knowledge or reasonable cause to suspect breaches, designated persons or frozen assets. OFSI's July 2025 assessment indicates the sector has under-reported suspected breaches and sets out expectations for compliance.

POCA provides the core money-laundering offences and the asset-recovery toolkit. ECCTA 2023 added crypto-specific search, seizure, freezing and civil-forfeiture powers into POCA, which came into force on 26 April 2024, along with accompanying Home Office circulars.

The UK implements FATF standards for virtual assets and virtual asset service providers. The Money Laundering and Terrorist Financing (Amendment) (No. 2) Regulations 2022 implement the Travel Rule, and the FCA has set out detailed expectations for UK cryptoasset businesses. FATF updated elements of Recommendation 16 (payment transparency) and issued best-practice guidance on Travel Rule supervision in June 2025.

Law stated - 11 November 2025

CRYPTOASSET TRADING

Fiat currency transactions

What rules and restrictions govern the exchange of fiat currency and cryptoassets?

Exchanging fiat for crypto (and vice versa) by way of business is an in-scope activity under the Money Laundering Regulations (MLRs) and requires Financial Conduct Authority (FCA) registration where the business is carried on in or from the UK. 'Cryptoasset exchange provider' in Regulation 14A includes exchanging crypto for money or other crypto and operating crypto ATMs. The Travel Rule applies to qualifying transfers.

Marketing of spot exchange services to UK consumers is restricted by the financial promotions regime for qualifying cryptoassets (websites, apps and social media that invite or induce trading). Firms must use one of the four lawful routes (authorised communicator; authorised approver under the s21 gateway; article 73ZA for FCA-registered cryptoasset businesses; or another Financial Promotion Order (FPO) exemption) and comply with the FCA's crypto-promotions rules.

HM Treasury's draft Regulated Activities Order (RAO) reforms will make operating a qualifying-cryptoasset trading platform, dealing (including lending/borrowing), arranging, safeguarding and staking regulated activities, and will set a consumer-facing geographic perimeter so that overseas firms serving UK retail customers generally need UK authorisation once the regime commences. Consequential MLR amendments will avoid duplicative registration for authorised firms.

Law stated - 11 November 2025

Exchanges and secondary markets

Where are investors allowed to trade cryptoassets? How are exchanges, alternative trading systems and secondary markets for cryptoassets regulated?

There is no general prohibition on UK-based individuals trading spot cryptoassets as a personal activity, subject to sanctions, tax and consumer-protection law and to the financial-promotion restrictions that apply to the marketing they see. Promotions directed at UK consumers are in scope regardless of where a platform is based.

Retail access to derivatives remains banned, but retail access to certain exchange-traded notes will open. The FCA continues to prohibit the sale, marketing and distribution of crypto-derivatives to retail clients, but it announced on 1 August 2025 that retail clients will be able to buy crypto-exchange-traded notes (ETNs) admitted to trading on a UK-recognised investment exchange from 8 October 2025, with the usual protections applying.

Centralised exchanges with a UK establishment must register under the MLRs and comply with anti-money laundering (AML) and Counter-Terrorist Financing (CTF) obligations. Under the forthcoming RAO-based regime, operating a qualifying-cryptoasset trading platform will be a regulated activity; overseas platforms serving UK consumers directly or indirectly will generally need UK authorisation, though overseas platforms dealing solely with UK institutional clients are carved out from that consumer-facing perimeter.

For decentralised models, the government has confirmed that there are no special carve-outs for decentralised finance (DeFi). If a specified activity is carried on by a sufficiently controlling person (or persons) by way of business, that person will need authorisation once the RAO-based regime commences; where an activity is truly decentralised with no such person, the authorisation requirement would not apply. Marketing to UK consumers remains subject to the financial promotions regime in any case.

Law stated - 11 November 2025

Custody

How are cryptoasset custodians regulated?

At present, UK-established cryptoasset custodians are supervised under the MLRs as 'custodian wallet providers'. A firm is in scope if, by way of business, it safeguards customers' cryptoassets or private keys; FCA registration and full AML/CTF compliance (including the crypto Travel Rule) are required. The core definitions are in regulation 14A MLRs and the FCA's supervisory page explains how it applies the 'by way of business' and 'in the UK' tests.

Where a custodian is established offshore with no UK office or agents, the FCA indicates this is not automatically treated as 'carrying on business in the UK' for MLR purposes simply because UK clients may open accounts. However, such firms are squarely inside the UK financial promotions regime if they market to UK consumers, irrespective of location. In short, AML registration turns on a UK business nexus; financial promotions compliance turns on whether the communication can have an effect in the UK.

Two material changes are coming. First, HM Treasury's near-final draft Cryptoassets Order would make the safeguarding (custody) of qualifying cryptoassets a Financial Services and Markets Act (FSMA)-regulated activity (draft RAO article 90). Second, the same package would amend the Financial Promotion Order (FPO) so that safeguarding becomes a crypto-specific 'controlled activity', bringing pure custody promotions clearly within section 21 FSMA. The policy note also sets a location-based perimeter: safeguarding carried on 'in the UK or on behalf of a consumer in the UK' will require UK authorisation. Until that order is made and commenced, custody remains outside the crypto-specific controlled activities in the FPO. However, promotions that invite or induce other controlled activities (for example, dealing/arranging) are already caught.

The FCA has consulted on a dedicated custody rulebook to sit on top of the future perimeter (CP25/14). Proposals include holding client cryptoassets on trust, segregation, reconciliations, records and governance. CP25/14 also confirms self-custody wallets (software or hardware) are out of scope of the proposed safeguarding activity; non-custodial wallet providers with no exchange function are likewise generally out of scope today under the MLRs.

Law stated - 11 November 2025

Broker-dealers

How are cryptoasset broker-dealers regulated?

A UK-facing 'broker-dealer' in unregulated (non-security) cryptoassets is presently supervised under the MLRs as a 'cryptoasset exchange provider' where it exchanges crypto for money/crypto or arranges such exchanges by way of business; UK-based operators must register with the FCA and comply with AML/CTF obligations.

If an overseas broker-dealer has no UK establishment, merely permitting UK clients to open accounts is not, by itself, automatically 'carrying on business in the UK' for MLR purposes; but any UK-facing marketing is within the FSMA financial promotions regime. Looking forward, HM Treasury's draft Cryptoassets Order would move intermediation into the FSMA perimeter (dealing as principal/agent and arranging in 'qualifying cryptoassets') and, crucially, introduces a location-based perimeter under which firms serving UK consumers must be UK-authorized regardless of where they are based. The FCA's DP25/1 confirms the Overseas Persons Exclusion will not be extended to crypto activities.

Law stated - 11 November 2025

Decentralised exchanges

What is the legal status of decentralised cryptoasset exchanges?

There is no UK rule that regulates a protocol 'as code'. Today, supervision focuses on identifiable persons carrying on business. If a person or entity operates a DEX front-end, charges fees, exercises control, or otherwise provides exchange/arranging services 'by way of business', it can already fall within the MLR definition of a 'cryptoasset exchange provider' and require FCA registration; any UK-facing promotion inviting or inducing dealing/arranging in qualifying cryptoassets must comply with the FSMA financial promotions regime.

Under the future regime, 'operating a qualifying cryptoasset trading platform' becomes a FSMA-regulated activity. HM Treasury states that there are no special carve-outs for DeFi: where activities are truly decentralised with no controlling person, authorisation requirements would not apply; where there is a sufficiently controlling party, authorisation would be expected. The FCA's DP25/1 further develops this function-and-location-based approach for trading venues that serve UK retail.

Law stated - 11 November 2025

Peer-to-peer exchanges

What is the legal status of peer-to-peer (person-to-person) transfers of cryptoassets?

Person-to-person transfers between private individuals are not prohibited. The regulatory trigger is when a business facilitates such transfers 'by way of business': peer-to-peer providers are expressly listed by the FCA as within the MLR definition of 'cryptoasset exchange provider'. Any UK-facing promotion relating to qualifying cryptoassets must meet the FSMA/FPO and FCA rules, and under the draft Cryptoassets Order, many P2P facilitators that deal, arrange or operate platforms for UK consumers will require FSMA authorisation once in force.

Law stated - 11 November 2025

Trading with anonymous parties

Does the law permit trading cryptoassets with anonymous parties?

UK law does not per se ban trading with an anonymous counterparty; however, MLR-supervised businesses must apply customer due diligence (CDD) when establishing a relationship or carrying out certain transactions, and must cease the transaction/relationship if required CDD cannot be completed, considering whether to file a Suspicious Activity Report (SAR). Since 1 September 2023, the UK Travel Rule also requires in-scope cryptoasset businesses to collect, verify and transmit originator/beneficiary information for qualifying cryptoasset transfers, with specific expectations where the counterparty is an unhosted wallet. In practice, a regulated firm will be unable to discharge its CDD/Travel Rule duties if counterparties remain unidentified. SARs are made to the UK Financial Intelligence Unit at the National Crime Agency (NCA) under the Proceeds of Crime Act 2002 (POCA).

Law stated - 11 November 2025

Foreign exchanges

Are foreign cryptocurrency exchanges subject to your jurisdiction's laws and regulations governing cryptoasset exchanges?

Today, a foreign crypto exchange with no UK establishment is generally outside the scope of the MLR registration requirement solely by allowing UK residents to open accounts; the FCA sets out this position expressly. However, UK financial promotions law applies to any firm marketing qualifying cryptoassets to UK consumers, regardless of the firm's location. Separately, the CMA-led consumer-protection regime (updated by the Digital Markets, Competition and Consumers Act 2024 from 6 April 2025) applies to business-to-consumer conduct.

Looking ahead, HM Treasury's draft Cryptoassets Order would change the jurisdictional analysis for retail significantly: operating a trading platform, and dealing/arranging in qualifying cryptoassets, when serving UK consumers would require UK authorisation regardless of where the firm is based; custody would require authorisation when carried on in the UK or on behalf of a UK consumer; and the FPO would be aligned to bring promotions of these new activities within section 21 FSMA.

Law stated - 11 November 2025

Foreign exchanges

Under what circumstances may a citizen of your jurisdiction lawfully exchange cryptoassets on a foreign exchange?

There are no prohibitions or restrictions on citizens of the UK exchanging cryptoassets on any exchange, whether domestic or foreign, provided it is a personal transaction and not by way of business.

Law stated - 11 November 2025

Taxes

Do any tax liabilities arise in the exchange of cryptoassets (for both other cryptoassets and fiat currencies)?

There is no separate crypto tax code: existing taxes apply by reference to the asset's legal and economic characteristics and the facts of each case. HMRC's Cryptoassets Manual remains the primary reference.

For Individuals: HMRC generally treats individuals' buying and selling of exchange tokens as investment activity; gains on disposals are within CGT unless the individual is found to be trading. Disposals include selling for money, swapping one token for another, gifting (other than to a spouse/civil partner), and spending tokens on goods or services. HMRC's current guidance treats the 'situs' of exchange tokens as the place where the beneficial owner is resident, which historically affected remittance-basis claims; from 6 April 2025, the remittance basis has been abolished and replaced by the four-year Foreign Income and Gains regime for qualifying residents, so UK residents are taxable on worldwide gains on the arising basis unless they fall within FIG relief. Crypto received from employment is taxable as income; if the token is a readily convertible asset (often the case where there are trading arrangements), PAYE and both employee and employer NICs apply.

For businesses (including companies, partnerships and sole traders): where activities amount to a trade, receipts and expenses are brought into account in computing trading profits for corporation tax or income tax, as applicable. Where there is not a trade, profits and losses are generally within the chargeable gains rules. Cryptoassets typically fall outside the 'loan relationships' code as they are not money and do not represent a creditor-debtor relationship.

Regarding DeFi lending and staking: HMRC guidance provides that a transfer that changes beneficial ownership (for example, many liquidity-pool or certain staking arrangements) can constitute a disposal for CGT purposes; returns are not 'interest' and are taxed by reference to their nature (revenue v capital). The government consulted in 2023 on legislative change to better align DeFi outcomes with economic substance, but no new legislation has yet been enacted; current manual guidance therefore continues to apply.

VAT is due in the normal way on supplies of goods or services paid for with crypto; HMRC does not charge VAT on transfers of exchange tokens themselves.

HMRC's current view is that transfers of existing exchange tokens are generally outside stamp duty and stamp duty reserve tax (SDRT) because they are not 'stock or marketable securities' or 'chargeable securities', but this will be considered on a case-by-case basis. Where exchange tokens are used as consideration for 'chargeable securities', SDRT can arise based on the sterling value of the tokens at the relevant time.

'Designated cryptoassets' are included in the Investment Transactions List for the Investment Manager Exemption (IME) from 1 January 2023, so UK managers can benefit where the conditions are met. This change is ring-fenced to the IME and does not extend to other tax 'whitelists'.

The UK has legislated to implement the OECD Crypto-Asset Reporting Framework: the Reporting Cryptoasset Service Providers (Due Diligence and Reporting) Regulations 2025

were made on 24 June 2025 and commence on 1 January 2026. UK 'reporting cryptoasset service providers' will be required to conduct due diligence and report to HMRC.

UK residents trading on overseas platforms should assume UK tax applies to disposals and income according to the above rules; sanctions, the financial promotions regime and (from commencement) the forthcoming RAO-based authorisation perimeter govern access and marketing, not the situs of the exchange. Maintain detailed records of all transactions to support tax filings and consider the FIG regime if arriving or re-arriving in the UK after a 10-year period of non-residence.

Law stated - 11 November 2025

CRYPTOASSETS USED FOR PAYMENTS

Government-recognised assets

Has the government recognised any cryptoassets as a lawful form of payment or issued its own cryptoassets?

The UK has not recognised any cryptoasset as legal tender, and no UK public authority has issued a government cryptoasset for public use as money. In UK law, 'legal tender' has a narrow meaning relevant to settling certain debts; outside that context, parties are free to agree how they pay, including by crypto, but there is no statutory "special" payment status for cryptoassets. The Bank of England's (BoE's) guidance confirms the limited, technical scope of legal tender and makes clear that acceptance of payment forms is a matter of agreement.

The policy and legal framing in the UK treats cryptoassets primarily as property, not currency. To that end, the Property (Digital Assets etc) Bill is progressing through Parliament in the 2024–26 session to put beyond doubt that certain digital assets can attract personal property rights (building on existing case law and the Law Commission's 'data objects' work). As at 9 October 2025, the Bill had completed House of Lords stages and was in the Commons; Royal Assent has not yet been granted.

The authorities continue to explore a central bank digital currency. The BoE and HM Treasury's joint response to the 2023 consultation confirms that no decision has been taken to introduce a 'digital pound'; work remains in a design phase, with any decision contingent on future legislation and further consultation. The Bank's explainer sets out how a digital pound would differ from privately issued cryptoassets.

Separately, the government and UK Debt Management Office are piloting the use of distributed ledger technology for sovereign debt issuance via the Digital Gilt Instrument (DIGIT) within the Digital Securities Sandbox. Procurement and engagement steps were launched in March 2025 and, in July 2025, the government released a DIGIT pilot update outlining further features which the pilot would aim to test. This is a technology pilot for gilts, not a government 'cryptoasset' or change to legal-tender status.

Law stated - 11 November 2025

Bitcoin

Does Bitcoin have any special status among cryptoassets?

Bitcoin has no special legal status in the UK. It is not legal tender and, for UK financial promotions, it is typically a 'qualifying cryptoasset' (ie, a fungible, transferable cryptoasset) for the purposes of the Financial Promotion Order, bringing communications to UK consumers within the section 21 Financial Services and Markets Act perimeter since October 2023.

Law stated - 11 November 2025

Banks and other financial institutions

Do any banks or other financial institutions allow cryptocurrency accounts?

Mainstream UK banks do not offer 'cryptocurrency current accounts' or crypto-denominated deposits. Many permit transfers to Financial Conduct Authority (FCA)-registered crypto firms but apply fraud-risk controls, including limits and blocking of certain card transactions, such as publicised limits on payments to some exchanges, or block credit-card crypto purchases (while allowing incoming payments). Some UK financial firms, such as challenger banks and fintech companies, have started to provide services that facilitate cryptocurrency transactions. Some now specialise in or cater to cryptocurrency users, offering features such as crypto wallets, debit cards linked to crypto accounts, crypto loans, interest-bearing crypto accounts and crypto trading. Some large institutions are building digital-asset infrastructure (for example, institutional custody offerings), and market access has broadened: the FCA confirmed that, from 8 October 2025, retail investors will be able to access UK-listed crypto-exchange-traded notes (ETNs) on recognised exchanges, with Consumer Duty and financial promotions rules applying (the separate ban on retail crypto-derivatives remains).

Law stated - 11 November 2025

CRYPTOCURRENCY MINING

Legal status

What is the legal status of cryptocurrency mining activities?

Cryptocurrency mining activities are not prohibited and are not regulated. The Financial Conduct Authority (FCA) has stated that mining on a permissionless network should not trigger any regulation. Mining is not among those regulated activities in HM Treasury's draft Cryptoassets Order. However, cryptocurrency mining pools and related services may be subject to collective investment scheme regulation, and mining activities are subject to general legal and regulatory requirements that apply to businesses operating in the UK.

Law stated - 11 November 2025

Government views

What views have been expressed by government officials regarding cryptocurrency mining?

Other than an intention not to regulate cryptocurrency mining, the UK government has expressed certain views, including:

- the need to consider the environmental impact of mining activities;
- the need to strike a balance between the potential economic benefits of blockchain technology and cryptocurrency activities, including mining, and the risks, such as financial crime and consumer protection issues; and
- the importance of international cooperation in regulating cryptocurrencies and mining activities.

Law stated - 11 November 2025

Cryptocurrency mining licences

Are any licences required to engage in cryptocurrency mining?

Cryptocurrency mining does not require a special licence. Operators must comply with general UK laws and local requirements (for example, planning, grid connections, health and safety, and environmental rules where relevant). If a mining operator also conducts activities within the anti-money laundering (AML) perimeter (for example, running an exchange or offering custodial services), those activities trigger FCA registration under Money Laundering Regulations (MLRs) and associated compliance duties, including the UK Travel Rule for qualifying transfers.

Law stated - 11 November 2025

Taxes

How is the acquisition of cryptocurrency by cryptocurrency mining taxed?

HM Revenue & Customs (HMRC) taxes mining receipts either as trading income (if the activity amounts to a trade) or as miscellaneous income (if it does not). For individuals who are not trading, the pound-sterling value of tokens at the time they are awarded is taxable as miscellaneous income, with appropriate expenses deductible; a later disposal then falls within capital gains tax (CGT) using that value as the acquisition cost. Where the activity amounts to a trade, the sterling value of tokens at receipt is taxable as trading income (and, for individuals, subject to Class 2/4 National Insurance Contributions (NICs) where conditions are met); later disposals are taxed under the trading or capital rules as applicable to the facts. HMRC assesses 'trade' by reference to factors including degree of activity, organisation, risk and commerciality, and applies analogous guidance for businesses.

Hobby vs trade

In the UK, receipt of newly created tokens from mining is taxed at the point of award. For most individuals, mining is not a trade; the sterling value of tokens when received is charged as miscellaneous income under the Income Tax (Trading and Other Income) Act 2005 (ITTOIA), Part 5, Chapter 8 (section 687), reduced by appropriate revenue expenses (for example, attributable electricity or pool fees). Capital allowances are normally unavailable

against miscellaneous income, and NICs are not due because Class 4 applies only to profits charged as trade under ITTOIA Part 2; individuals may still choose to make voluntary Class 2 contributions. On a later disposal, CGT applies only to the post-receipt growth because the amount previously taxed as income is excluded from the disposal consideration by the Taxation of Chargeable Gains Act 1992 section 37 (functioning as the base cost). From 30 October 2024 and continuing for 2025/26, individuals face 18 per cent (basic-rate) or 24 per cent (higher/additional-rate) CGT, with a £3,000 annual exempt amount. Block-reward mining is outside the scope of VAT (no identifiable customer/consideration). HMRC expects consistent GBP valuations and robust records.

Where mining does amount to a trade (exceptional, fact-sensitive, applying the badges of trade such as degree of activity, organisation, risk and commerciality), the receipt is a trading receipt; normal trading rules apply, including deduction of wholly and exclusively incurred revenue costs and, crucially, capital allowances on plant and machinery (for unincorporated businesses, AIA – permanently £1 million; for companies, permanent full expensing for qualifying main-rate plant, with a 50 per cent FYA for special-rate assets). Self-employed traders are within Class 4 NICs at 6 per cent between £12,570–£50,270 and 2 per cent above, with Class 2 no longer compulsory from 6 April 2024 (voluntary Class 2 remains available). Subsequent disposals of mined tokens held as inventory/investments are typically capital (with the income-taxed amount forming base cost) unless the facts dictate otherwise.

Determining hobby vs trade

HMRC considers the degree of frequency and level of mining activity and the degree of organisation, risk and commerciality when deciding if mining amounts to a trade (the same factors are applied for businesses).

Law stated - 11 November 2025

BLOCKCHAIN AND OTHER DISTRIBUTED LEDGER TECHNOLOGIES

Node licensing

Are any licences required to operate a blockchain/DLT node?

Operating a blockchain or distributed ledger technology (DLT) node does not generally require a specific licence.

Law stated - 11 November 2025

Restrictions on node operations

Is the operation of a blockchain/DLT node subject to any restrictions?

The operation of a blockchain/DLT node is not subject to any restrictions.

There is no node-specific statutory restriction, but general laws can apply depending on what the node does and how it is run. UK data-protection law applies wherever personal data is processed; the Initial coin offerings (ICOs) draft DLT guidance (August–November 2025 consultation) addresses controller/processor roles, immutability and data-minimisation

on blockchains. Financial-sanctions law applies to cryptoassets like any other funds or economic resources. If node operation is part of a business carrying on regulated activities (for example, qualifying cryptoasset staking, safeguarding/custody, dealing or operating a trading platform once the forthcoming Regulated Activities Order (RAO)-based regime commences), authorisation and conduct/anti-money laundering (AML) obligations may apply; if it is purely passive network participation, no authorisation is generally required.

Law stated - 11 November 2025

DAO liabilities

What legal liabilities do the participants in a decentralised autonomous organisation (DAO) have?

There is no decentralised autonomous organisation (DAO)-specific legal form or statute in England and Wales. DAOs do not fit neatly into existing legal categories such as corporations, partnerships or trusts. This ambiguity creates challenges in determining the liability of participants.

Absent a wrapper entity, a DAO may be analysed as an unincorporated association or, in some cases, a general partnership, exposing active participants to potential personal liability. The Law Commission's scoping paper (11 July 2024) explains characterisation options and current risk points; the government has not yet legislated a new DAO vehicle. Separately, English appellate authority has held it arguable that core software developers could owe fiduciary duties in certain circumstances (the Tulip Trading litigation), though no final merits decision has imposed such a duty to date. Using a recognised wrapper (for example, a limited company or LLP) and clear governance/agency documentation, insurance, and regulatory engagement is the prevailing risk-mitigation approach.

Participants in a DAO can take on various roles, including developers, token holders and users. The level of involvement and control a participant has over the DAO's operations can influence their liability. For instance, developers who create and maintain the smart contracts may be seen as having more control and, therefore, greater responsibility, and could be held liable for losses resulting from failures such as smart contract failures or bugs, but liability could be mitigated through clear disclaimers and the use of insurance mechanisms.

Decentralised governance can diffuse responsibility, making it challenging to pinpoint liability. However, participants who hold significant voting power or influence over decisions may still be held accountable.

Law stated - 11 November 2025

DAO assets

Who owns the assets of a DAO?

In England and Wales, there is no sui generis 'DAO' legal form. Ownership of a DAO's assets depends on how the arrangement is characterised at law and whether a legal wrapper has been used. The Law Commission's 2024 scoping paper confirms that DAOs are best analysed using familiar categories (company, partnership, unincorporated association,

trust), and it did not recommend creating a new entity type. Where a wrapper (for example, a company, LLP, foundation or express trust) is used, the wrapper is the legal owner of the assets, with participants' rights defined by that wrapper's constitutional documents.

If no wrapper is used, the DAO may be characterised (fact-sensitively) as an unincorporated association or partnership. In that case, assets are typically held by identifiable persons (for example, multi-sig signatories, officers or trustees) on terms implied by the association's rules and the 'contract-holding' analysis, not by the association as a separate legal person. That characterisation drives who can control or distribute assets (including on dissolution) and who bears liabilities.

The digital things the DAO holds (for example, crypto-tokens) are capable of attracting property rights under English law. That is now well recognised in the case law (for example, *AA v Persons Unknown*) and is the premise of the Government's Property (Digital Assets etc) Bill, which confirms that things can be objects of personal property rights even if they are neither 'things in possession' nor 'things in action'. The Bill was brought from the House of Lords to the Commons on 12 May 2025 and remains in progress.

'Control' of a token (for example, via keys or a smart contract) is legally relevant evidence but it does not, by itself, answer who has title. The Law Commission's digital-assets work treats 'control' as a distinct juridical concept and advances a 'third category' of personal property that better accommodates crypto-tokens; title questions remain for the common law to develop on the facts. Practically, using a wrapper to hold assets is the cleanest way to avoid uncertainty for treasury management, governance and liability.

Law stated - 11 November 2025

Open source

Is DLT based on open-source protocols or software treated differently under the law than private DLT?

The legal treatment of DLT depends on the use and effect of the protocol or software, particularly in relation to transactions, and not on whether it is public (open-source) or private.

Law stated - 11 November 2025

Smart contracts

Are smart contracts legally enforceable?

Yes, they can be. English law is form-neutral: what matters is whether the usual elements of contract are present (agreement, intention to create legal relations and consideration). The UK Jurisdiction Taskforce's 2019 Legal Statement and the Law Commission's 2021 advice to Government both conclude that smart legal contracts are capable of forming binding contracts; code can express terms and automated performance does not prevent enforceability. Courts then handle evidential and construction issues case-by-case.

Smart-contract use has also generated novel procedural rulings (for example, permitting service by non-fungible tokens (NFTs) in *D'Aloia v Persons Unknown*), underscoring the courts' willingness to adapt familiar principles to on-chain contexts.

Patents

Can blockchain/DLT technology be patented?

Potentially, yes – if the invention meets the Patents Act 1977 tests of novelty, inventive step and industrial applicability. However, software and business-method exclusions under section 1(2) apply: computer programs 'as such' and schemes for doing business are excluded unless the claimed invention makes a relevant technical contribution. Examiners apply the Aerotel/Macrossan four-step test (and related case law such as Symbian) to decide if a claimed DLT invention goes beyond excluded subject matter (for example, by improving computer/network operation). In practice, DLT claims succeed when they solve a concrete technical problem rather than merely implement a business process on a ledger. Given the rapid development in blockchain technology, demonstrating novelty and an inventive step can be challenging.

Law stated - 11 November 2025

UPDATE AND TRENDS

Recent developments

Are there any emerging trends, notable rulings or hot topics related to cryptoassets or blockchain in your jurisdiction?

Emerging and notable trends in cryptoassets include the following:

- Property status of digital assets. Parliament is progressing the Property (Digital Assets etc) Bill, which confirms that something can be an object of personal property rights even if it is neither a thing in possession nor a thing in action, giving legislative effect to Law Commission recommendations. The Property (Digital Assets etc) Bill remains in the 2024–26 session (passed the Lords; in the Commons); meanwhile the Scottish Government introduced the Digital Assets (Scotland) Bill (30 Sept 2025).
- Digital Securities Sandbox (DSS). The Bank of England and Financial Conduct Authority (FCA) have launched the DSS, now open for applications, to test distributed ledger technology (DLT) and other technologies in issuance, trading and settlement of securities within a modified legal framework. Expect more tokenisation pilots of bonds, funds and settlement assets through 2026–2028.
- Retail access to crypto-exchange-traded notes (ETNs). The FCA has confirmed that retail consumers can access UK-listed crypto-ETNs from 8 October 2025, reversing the 2021 ban and applying Consumer Duty and financial-promotions guardrails.
- Financial-promotion and advertising clamp-down. Alongside the FCA's expanded crypto financial-promotion regime, the Broadcast Committee of Advertising Practice has banned broadcast ads for certain qualifying cryptoassets to mainstream, non-specialist audiences. FCA PS23/6 and FG23/3 in force since 2023; FG24/1 (Mar 2024) on social media applies the 'capable of having an effect in the UK' test.

- Sanctions risk focus. The Office of Financial Sanctions Implementation (OFSI) has published its 2025 Cryptoassets Sector Threat Assessment to guide a risk-based approach to UK sanctions compliance, highlighting exposures to designated persons and state-linked actors and stressing under-reporting and Russia/North Korea exposure.
- DAO/legal characterisation. The Law Commission's DAO scoping paper (July 2024) remains the key UK reference point, emphasising use of existing legal forms over creating a new 'DAO entity', and urging careful analysis of governance, liability and asset-holding arrangements.
- HM Treasury's *near-final* draft Financial Services and Markets Act (FSMA) (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025 (29 Apr 2025) would create RAO activities (venues, dealing, arranging, custody, staking), define qualifying cryptoassets and qualifying stablecoins, and set a consumer-facing geographic perimeter so non-UK firms serving UK retail generally need UK authorisation. Final admissions/disclosure and market-abuse statutory instruments to follow 'in due course'.
- From 31 Jan 2025, qualifying cryptoasset staking is not a collective investment scheme under FSMA's collective investment scheme regime (the FSMA 2000 (Collective Investment Schemes) (Amendment) Order 2025).
- For Stablecoin framework (systemic backstops), FSMA 2023 already extends the Bank of England's remit and Financial Market Infrastructure Special Administration Regime to 'digital settlement asset' systems and service providers; HM Treasury's Oct 2023 response confirmed the FMI SAR would be the primary insolvency route for systemic digital settlement asset firms.
- An increased focus on environmental and ESG considerations.
- In tax, the remittance basis was abolished from 6 Apr 2025 and replaced by the four-year Foreign Income & Gains regime for qualifying new arrivals.

Law stated - 11 November 2025